Atchison

Atchison Active Floating Rate SMA Performance Report

28 February 2025

Illuminating
the way forward

Atchison Active Floating Rate SMA

28 February 2025

	3 Months	6 Months	1 Year	2 Years (p.a.)	Since Inception
AtchisonFloatingRate	**1.52**	**2.63**	**6.09**	**5.79**	**6.06**
Peer Group	0.99	1.91	4.23	4.45	4.57
Inflation	0.0	0.25	2.68	3.05	3.26
Outperformance vs Peers	0.52	0.72	1.86	1.34	1.49
Outperformance vs Inflation	1.52	2.38	3.41	2.74	2.8

Inception Date: 31 December 2022

Investment Objective

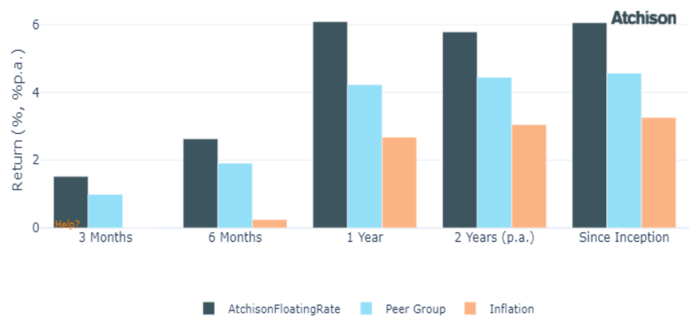
Outperform the RBA Cash Rate, after fees, over rolling three-year periods.

Strategy Overview

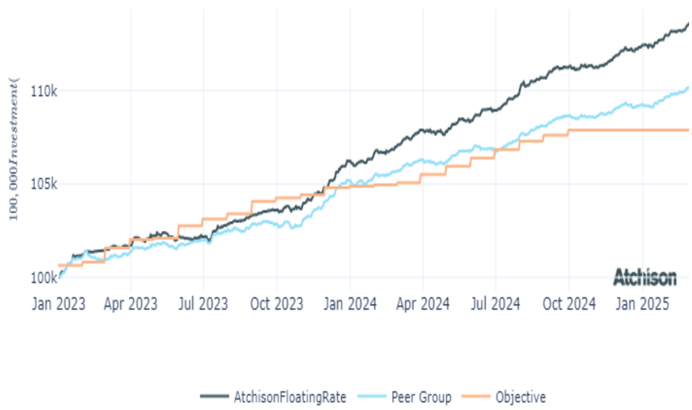
The Atchison Active Floating Rate Portfolio offers a bespoke solution as part of your defensive bond asset class allocation. Focusing on floating rate bank securities, asset backed securities and diversified credit strategies that pay a variable (or "floating") interest rate, typically with a duration of less than three years.

Key Details	
Strategy Category	Floating Rate
Strategy Provider	Atchison
Benchmark	RBA Cash Rate
Inception Date	31 December 2022
Investment Horizon	3 Years
Risk Level (SRM)	Low to Medium
Min Investment	5k
Product Fee	Platform Specific - Refer to PDS
Underlying MER	0.37%
Underlying Perf Fees	0.00%

Strategy Performance

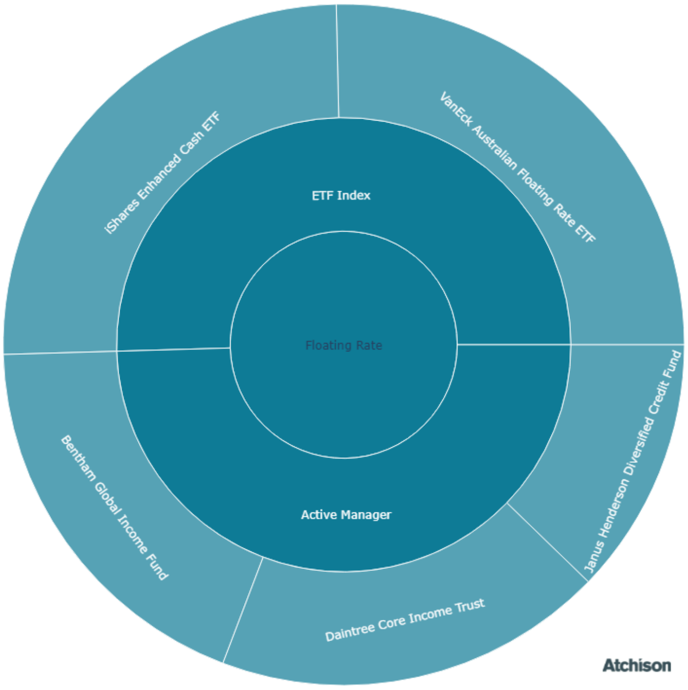


Cumulative Performance Since Inception

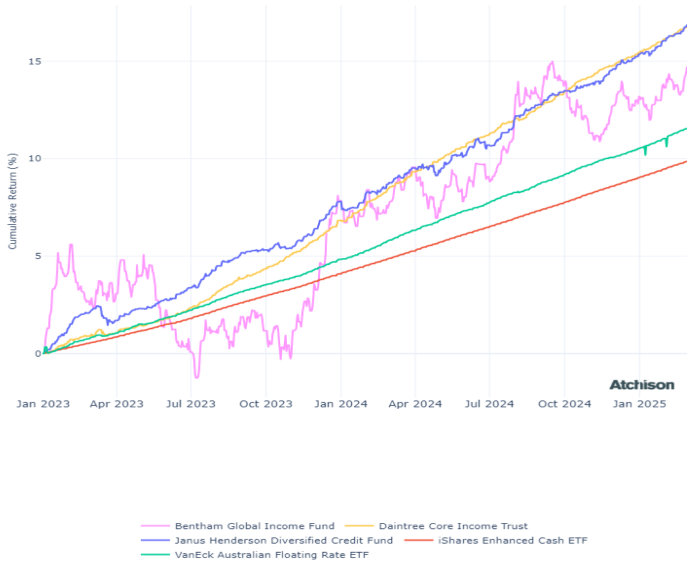


Portfolio Allocations

Portfolio Construction

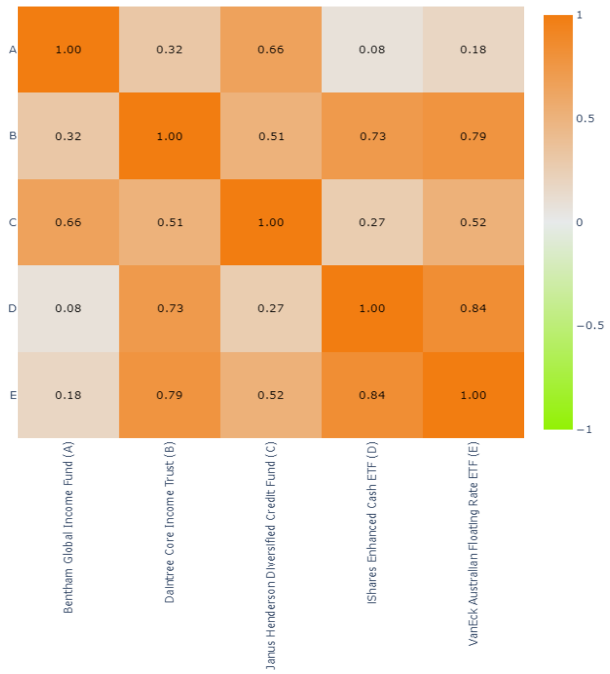


Underlying Manager Performance

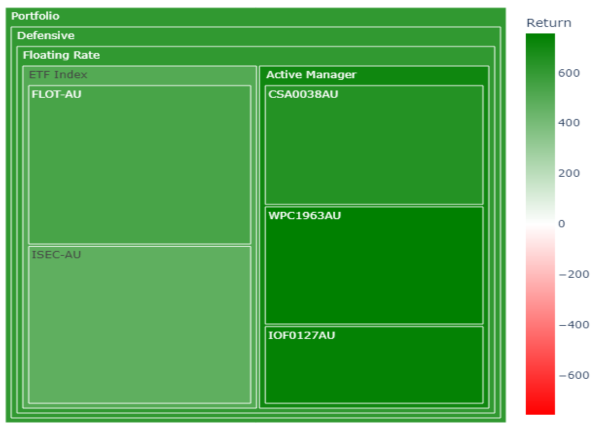


Period	1 Year	2 Years (p.a.)	Since Inception
CSA0038AU	6.51	5.74	1.8
WPC1963AU	7.56	7.54	2.04
IOF0127AU	7.43	6.93	2.05
ISEC-AU	4.74	4.52	1.23
FLOT-AU	5.42	5.18	1.44
BM_Floating	5.48	5.05	1.42

Correlations



1 Year Performance Heatmap



Market Update

The Australian share market had a mixed performance in February, with some positive momentum at the start of the year giving way to a more cautious outlook. The market ended the month down by -3.9%, a notable pullback after a strong +4.5% gain in January. Despite this monthly dip, the market still saw an impressive +9.8% return over the last 12 months.

Seven of the ASX's 11 sectors finished the month in the red with Information Technology falling -12.28% led by Wisetech's (ASX: WTC) -27.7% dip in February. Real Estate and Healthcare also sold off considerably falling -6.41% and -7.66% respectively. On the other hand, Utilities performed strongest increasing 3.15%.

Valuations remain relatively expensive, in aggregate the price to earnings (P/E) ratio on the ASX 200 is around 20x versus the long-term average of 15-18x.

Global equity markets showed mixed performance in February, with a slight pullback after the strong gains seen in January. International equities returned -0.4% unhedged and -2.7% hedged, as investors navigated various geopolitical and economic headwinds. The US stock market was under pressure, with the S&P 500 falling -1.3%, the Nasdaq slipping by -2.7%, and the Dow Jones Industrial Average falling -1.4%. In Europe, the London FTSE 100 rose +1.5%, supported by a stronger-than-expected earnings season, leading to the highest close on record. The Japan Nikkei 225 dropped by -6.1% amid concerns over inflationary pressures.

February 2025 highlights the challenges that investors face in an increasingly complex global landscape. While some markets remain resilient, broader economic uncertainties, geopolitical risks, and central bank policies will continue to shape the direction of equity markets. Investors should maintain a well-balanced portfolio and stay vigilant to potential risks and opportunities as we move further into the year.

What do tariffs mean for us in Australia?

There are 3 things to keep in mind:

1. Australia has little direct trade with the US. 0.5% of US imports are from Australia. So, any tariffs targeted towards Australia will be small but could still happen for specific commodity exports like aluminium and lithium. Europe (19%), Canada (18%) and Mexico (13%) make up the lion's share of US imports
2. The main indirect impact to Australia from tariffs is via lower commodity exports to China, from any disruption to Chinese growth (as our main trading partner). A slowdown in the global economy would also be negative for Australian trade as we are a small, open economy. But in this scenario, China is also likely to push through fiscal spending to offset any economic disruption to which Australian commodities would benefit. There may also be some positive opportunities for Australian businesses to export to the US if the US pivots away from Canada, Mexico, and China
3. There is a financial market implication for Australia as well which we can already see with the lower Aussie dollar and equity market volatility

Additional commentary is provided in our monthly market update.

Fine Print

Atchison

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